

ISO 20000 unveiled

How to elicit added value from yet another new standard

By François Zielemans

Implementing standards delivering business value

Legislative compliance and the continuous rat race for higher quality and lower cost are some of the topics that keep the average IT manager from having a nine-to-five working day. And this despite the availability of a multitude of models, approaches and best practices claiming to be the golden egg your IT organization has been looking for all this time. And now there is the well-known ISO-goose claiming they have laid another egg: ISO/IEC 20000.

Many people fear this to be another bureaucratic nightmare that will deliver no value. And of course, just like with ISO 9000, there is a risk that not the concept of driving for quality is embraced but just a paper reflection of it, leading to an organization that thinks only about ISO when its time for the next audit. But when applied properly it can indeed add substantial value for businesses, especially in information intensive industries

This white paper describes not only how to implement ISO/IEC 20000 in your organization in a way that it actually adds measurable financial value, but more over what it is about and how it relates to some of those other popular models floating around in the market space.

ISO/IEC 20000

Published by the International Organization for Standardization (ISO) and International Electrotechnical Commission (IEC), ISO/IEC 20000:2005 is the first worldwide quality standard specifically aimed at IT support and maintenance organizations. It describes an integrated set of processes and management approach for the effective delivery of IT services to the internal or external customer.

ISO/IEC 20000 is basically a marriage between two best practices: ITIL and ISO's management system standards ISO 9001:2000 and ISO 14001:2004. ITIL stands for Information Technology Infrastructure Library and is a set of processes that cooperate to ensure the quality of IT services, according to the quality levels agreed with the customer.

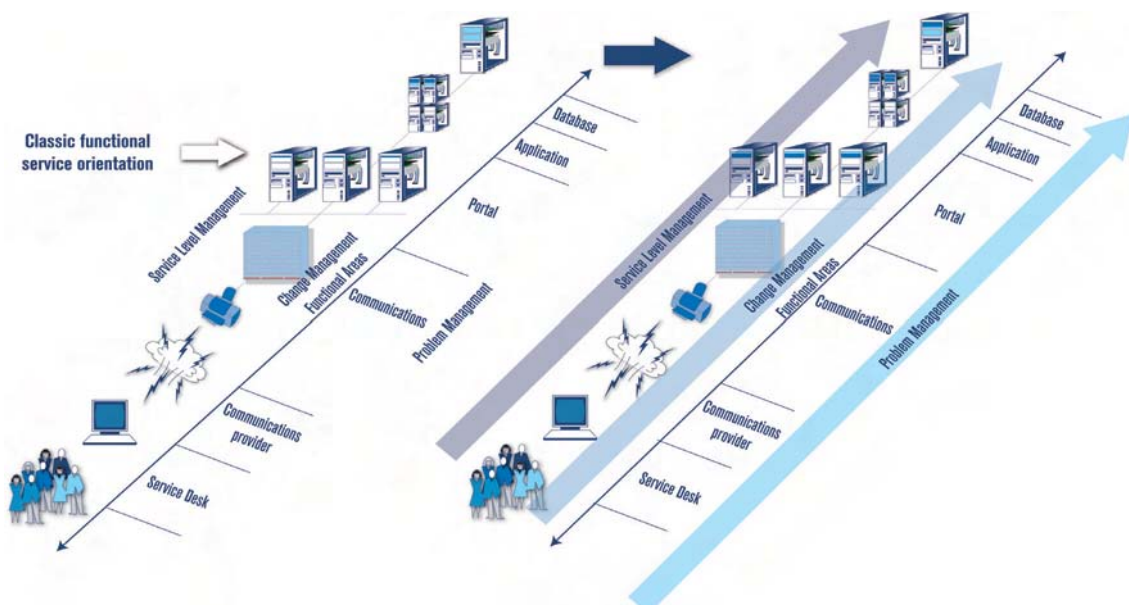
The main differences between ITIL version 3 and ISO 20000:2005 are the quality management system and the possibility of certification by an independent auditor. These and other properties make it an interesting concept for any internal or external service provider providing application or infrastructure management services to its clients.

Business pull ISO 20000 provides, like ITIL, a framework to shift from a 'technology push' way of looking at IT service delivery to a more 'business pull' approach. Today IT organizations are still mostly organized in functional areas (or stove pipes) like network management, application management, application development and so on. This ensures internally an efficient way of working but defining IT services this way is not aligned with the perception of an end-user selling mortgages as he or she couldn't care less what a WAN backbone or OS390 mainframe is.

The end user is interested in the availability of those automated information processing functionalities necessary to execute his or her job, e.g. selling mortgages. Up to the IT organization to provide this requirement as a 'black box', requiring end-to-end management of the whole IT-chain starting with client business application and desktop to LAN to WAN to datacenter LAN to application server to database server (figure below).

ISO 20000 provides the IT organization with a set of coherent service management processes and quality a management system to manage the full service life cycle of an IT service from the end-users perspective.

The transition from technical silos to end-to-end management



Where does ISO 20000 come from?

The roots of the in December 2005 published ISO/IEC 20000:2005 standard go back as far as 1995 when the British Standards Institute (BSI) published a document named *Code of Practice for Service Management*, providing IT managers with guidelines on managing the support and maintenance of IT services. This guide was followed in 2000 by the first release of the British Standard 15000 named BS15000-1:2000 Part 1, Specification for Service Management.

The ISO 9000 family

The background of ISO 9000 goes back as far as 1970 when for the first time international guidelines for quality assurance and certification by a certification body were drawn up. Until the Second World War the quality control was left to the buyer with hardly any quality control by the supplier. This changed during the Second World War when suppliers started to implement rudimentary quality control mechanisms. In 1987 the International Organization for Standardization (ISO) published the ISO 9000 till ISO 9004 standards with the Comité Européen de Normalization (CEN) acknowledging them as European standards naming them EN 29000 until EN 29004.

The ISO 9000 family of standards listed below has been developed to assist organizations, of all types and sizes to implement and operate effective quality management systems (ISO 9000:2005).

- ISO 9000 describes fundamentals of quality management systems and specifies the terminology for quality management systems.
- ISO 9001 specifies requirements for a quality management system where an organization needs to demonstrate its ability to provide products that fulfill the customers and applicable regulatory requirements and aims to enhance customer satisfaction.
- ISO 9004 provides guidelines that consider both the effectiveness and efficiency of the quality management system. The aim of this standard is improvement of the performance of the organization and satisfaction of customers and other interested parties.
- ISO 19011 provides guidance on auditing quality and environmental management systems. Together they form a coherent set of quality management system standards being adopted by companies all over the world.

The standard was developed in close cooperation by the BSI, the Central Computer and Telecommunications Agency (CCTA)¹ and IT Service Management Forum (itSMF). Part 1 was reissued in 2002 and followed by Part 2 in 2003 leading to a documentation set that consists today of four publications:

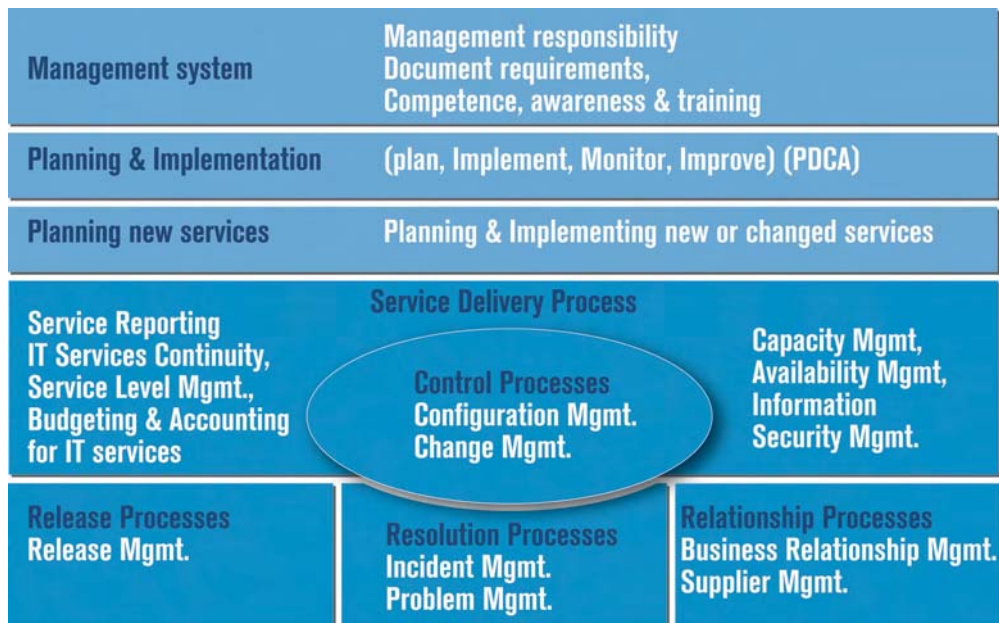
- BS 15000-1: 2002 Part 1: Specification for Service Management
- BS 15000-2: 2003 Part 2: Code of Practice for Service Management
- BIP 0005: 2004 IT Service Management: A Manager's Guide
- PD0015: 2002 IT Service Management: Self-assessment Workbook

The first two documents comprise the actual BS 15000 standard, while the other two provide additional information and assistance in its application within IT organizations.

BS 15000 is not the only standard published by BSI and later on adopted by ISO. The security standard BS 7799², first published in 1995 preceded it some five years ago by being adopted as ISO/IEC 17799 (eventually to be renamed ISO/IEC 27001).

ISO/IEC 20000 integrates, like ISO/IEC 17799 and BS 15000, the process-based approach of ISO's management system standards ISO 9001:2000 and ISO 14001:2004, aimed at enabling organizations to engage in a continuous improvement cycle, based on Deming's Plan-Do-Check-Act (PDCA) cycle. Though continuous improvement is also an aim of ITIL, ISO/IEC 20000 provides more specific guidelines on quality management.

The ISO 20000 framework



Similar to ISO/IEC 17799 consists ISO/IEC 20000:2005 of two parts and has the general title of *Information Technology - Service management*.

ISO/IEC 20000-1:2005 Part 1: Specification

The first part provides the minimum requirements for a mature IT Service Management (ITSM) function and is relevant to those responsible for implementing, maintaining or auditing on ITSM. It is based on BS 15000-1:2002 and contains the rules of compliance internal and external IT organizations have to comply with if they want to be eligible for ISO/IEC 20000 certification. The authority to certify is granted to independent auditors, the so called Registered Certification Bodies (RCBs), which audit the IT organization on evidence of compliance.

ISO/IEC 20000-2:2005 Part 2: Code of practice

The second part represents an industry consensus on guidance to auditors and assistance to IT organizations planning service improvements or to be audited against ISO/IEC 20000-1:2005. Where the rules of part 1 are mandatory ('Shalls') to achieve certification, the rules of part 2 are guidelines ('Shoulds') on implementing ITSM and should therefore be read in conjunction with ISO/IEC 20000-1.

Both part 1 and 2 of BS15000 are replaced by the ISO/IEC standard and certification is only possible on the ISO 20000 standard³.

When do you use ISO 20000?

There are several business issues where ISO 20000 can prove its value, but it will only do so if it is applied properly. The standard should be applied as a means, like COBIT, ITIL or Six Sigma to achieve the strategic objectives of the organization.

*ISO 9000 to
generic*

Certification should therefore not be seen as a goal in itself, but as a logical activity part of the continuous journey for higher quality and productivity figures. But sometimes the choice whether or not to certify is not left to the IT organization to make.

IT organizations are, directly or indirectly, funded by its customers and especially in information intensive businesses certification against ISO frequently is a mandatory requirement. The rationale behind this is the direct link between the quality of IT services and the quality of end products and services produced by the customers' business processes.

The typical business domain is familiar with ISO 9000 as this in general is the standard the IT organization has to get certified against. ISO9000 has however several drawbacks, one of being a generic standard, another being the risk of becoming a resource hungry and bureaucratic nightmare. This last drawback is also applicable to ISO 20000 if it is applied incorrectly.

There have been earlier efforts to overcome the drawback of ISO 9000 being too generic by the JTC 1 team of ISO by creating ISO9000-3, TL 9000, ISO 15288, and more than 500 other IT related ISO documents.

ISO9000-3 is a guidance document which explains how ISO 9001 should be interpreted within the software industry while TL 9000:2001 is also based on ISO 9000 and 9001, but focused toward telecommunication. ISO 15288 provides guidelines on improving the quality of the IT system lifecycle. ITIL and ISO 20000 in comparison focus on aligning IT services to the business needs and thus focus on the lifecycle of the IT service as a whole. But as systems together - from an end to end perspective - make up a service there is no reason why both standards cannot coexist. They both have a different focus.

It is in the end up to IT management to get the message across to their customers that certification against ISO 20000 and one or more other IT specific ISO standards adds more business value than ISO 9000 and 9001.

The roots of ITIL

ITIL was originally a set of about 60 books developed in the late 1980's as a set of best practices for IT by the CCTA (Central Communications and Telecom Agency) of the UK government. ITIL has since then become a widely accepted base for running the business of IT, specifically the support and maintenance of applications and infrastructure.

From the beginning, ITIL has been publicly available. This means that any organization can use the framework described in the books. Because of this, the IT Infrastructure Library guidance has been used by a diverse range of organizations, such as local and central government, energy, public utilities, retail, finance, and manufacturing. Very large organizations, very small organizations and everything in between have implemented ITIL processes.

Being a framework, ITIL describes the contours of organizing Service Management. The models show the goals, general activities, inputs and outputs of the various processes, which can be incorporated within IT organizations. ITIL does not cast in stone every action that should be done on a day-to-day basis because that is something which will differ from organization to organization. Instead it focuses on best practice that can be utilized in different ways according to different needs.

Legislative compliance

Another topic high on today's IT managers' agenda is legislative compliance and again ISO 20000 can be of use when properly applied. Misconduct of WorldCom, Enron and others drove the US government to create additional legislation, known as the Sarbanes-Oxley Act (SOX or SOXA), followed by various similar laws throughout the world like the 8th Directive in the European Union (EU). Basically SOX demands that all in the US publicly traded companies leave an audit trail so all the information in their financial reports can be verified and it requires codes of ethics for senior (financial) executives. Financial reports for external stakeholders became, like airplanes, objects that have to be checked and double checked to make sure they are safe to use.

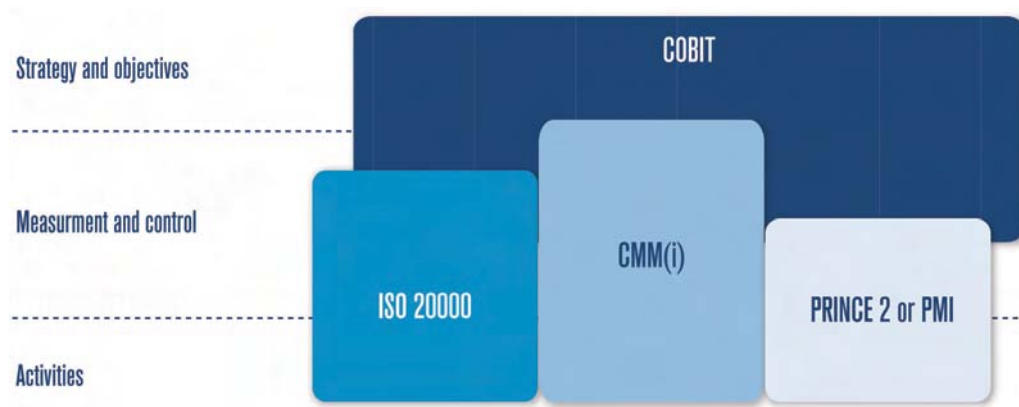
The creation, mutation, storage and transportation of financial reports is largely automated nowadays, making the IT function one of the aspects within the scope of SOX. To ensure only reliable financial data makes it into reports, proper control mechanisms have to be created ensuring confidentiality and integrity of financial data, or *any other data* that influences the financial results.

Financial figures are the outcome of decisions made in production, sales and other departments and adequate control and audit mechanisms have therefore to be applied to these IT systems also. In short: the planning and control maturity of the whole IT function has to be assessed and the outcome has to be translated in an improvement plan. And here ISO 20000 can show its use as it supports legislative compliance by:

- Providing a framework enabling a high level of operational IT control, in contrast to COBIT which focuses more on strategic and tactical controls and processes (figure below);
- Having mature key processes like change, configuration, security and incident management;
- Leaving an auditable documentation trail of among others changes, incidents, CI's and security issues;
- Requiring regular auditing of the IT organization by internal and external auditors.

The two examples briefly discussed above are just the tip of the iceberg regarding the business issues that can benefit from applying (parts of) ISO 20000. Other examples are improved business-IT alignment by implementing cross-functional customer oriented processes and improved capabilities of managing external service suppliers (ESPs) providing outsourced IT services.

High level mapping of popular IT frameworks



ISO 20000 is partially founded on the best practice ITIL but takes it a step further. One of the drawbacks of ITIL is its lack of an objective baseline to benchmark against. This is now partially tackled by the ISO 20000 standard. The lack of a baseline resulted in many ESPs claiming they were 'ITIL compliant' without any norm what this compliancy signifies. This was very confusing for customers looking for service providers employing service management concepts to manage their IT. But now customers and IT organizations have a clear and transparent standard to hold on to: ISO 20000 certification. *More than best practice ITIL*

Company and individual certification

The ISO certification scheme originates, not surprisingly, from the BS 15000 scheme developed by itSMF, which owns and manages it, thus controlling the way organizations were audited and certified against the BSI standard. Certification against the BS 15000 standard ended however by December 5th 2005 when BS15000 was promoted to ISO 20000. All organizations seeking certification since that date can do so only against ISO 20000 while BS15000 certified organizations have till the 5th of June 2007 to migrate to ISO 20000.

Besides certification of organizations, itSMF also developed exams allowing individuals to take training courses and examinations that lead to two certificates: the ISO 20000 Auditor Certificate and ISO 20000 Consultant Certificate. Course providers seeking to add these courses to their portfolio have to get accredited by itSMF before they are allowed to conduct classes.

IT organizations desiring certification have to go through a formal certification process that looks as follows at a high level:

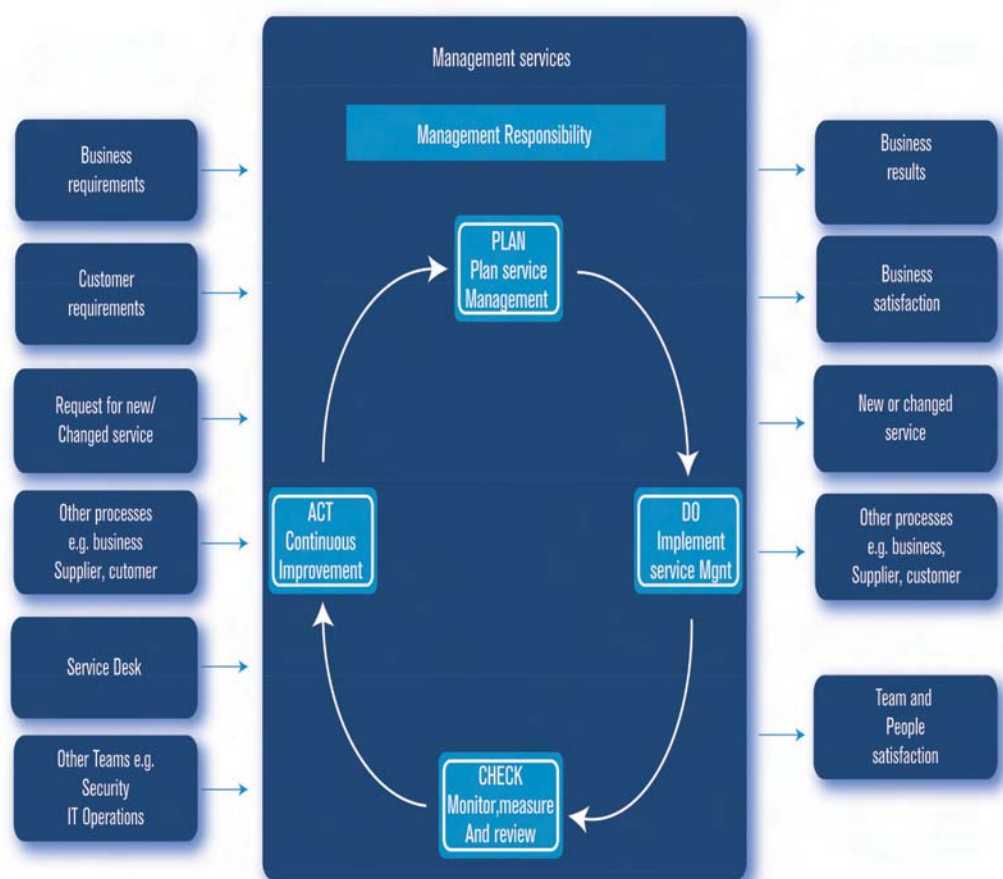
- First the organization has to demonstrate to their own satisfaction that they have appropriate evidence of conformance to the standard
- Then the organization has to obtain an outside view prior to the audit – either by an external consultant or internal audit team
- The third and final step is arranging and participating in the formal audit by a Registered Certification Body (RCB).

Management control

Passing an audit by a RCB requires the IT organization to demonstrate that it has management control of all of the processes defined within the ISO 20000 standard. Within this context 'management control' of a process consists of:

- Knowledge and control of inputs related to the service that is delivered to the customers of the IT organization, e.g. resources, documentation, contracts with external suppliers;
- Knowledge, use and interpretation of the outputs that the IT organization produces, e.g. services and customer satisfaction (figure below);
- Definition and measurement of metrics to ensure an effective and efficient service delivery e.g. Key Performance Indicators (KPI's) and Critical Success Factors (CSFs);
- Demonstration of objective evidence of accountability for process functionality in conformance to the ISO 20000:2005 standard, basically meaning that the IT organization has to prove to the auditor that it meets the requirements of ISO 20000:2005 part 1;
- Definition, measurement and review of process improvements is another key element of control as it ensures that the organization gets into a cycle of continuous improvement of both quality and business IT alignment.

From input to PDCA driven transformation to output



Ensuring management control is however easier said than done. The next chapter will therefore elaborate a bit more on the implementation side of ISO 20000 and how its value becomes available to the organization.

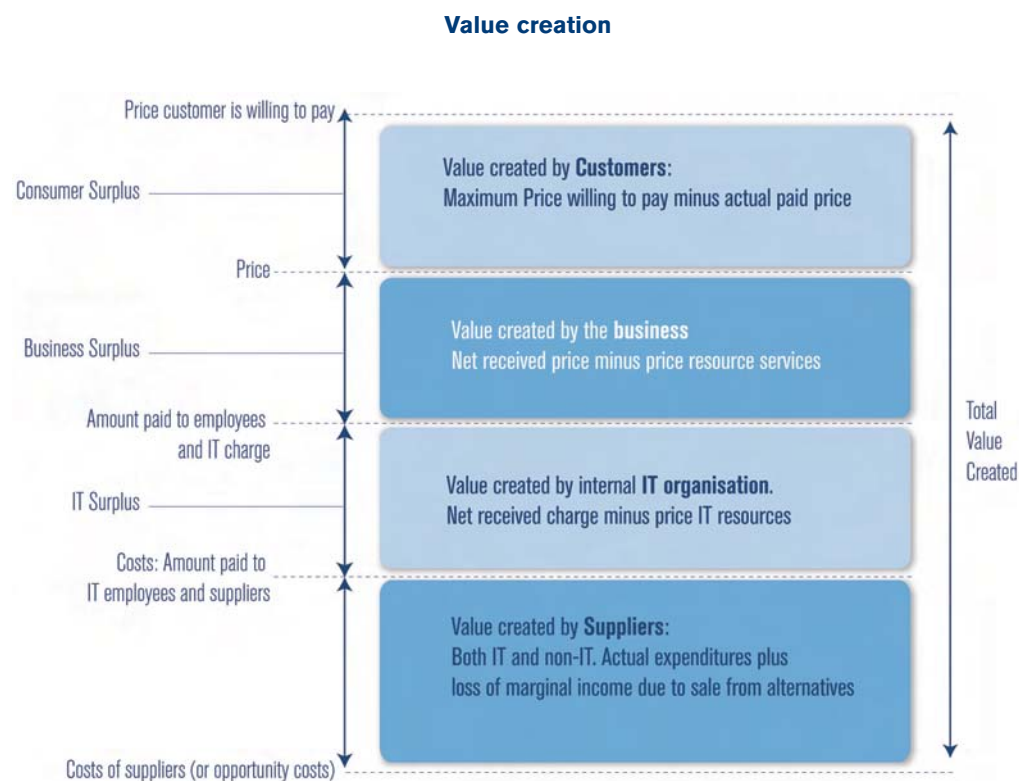
How to get ISO 20000 to work for you

The ISO based approach to developing and implementing a quality management system consist of several steps including the following:

I. Determine needs and expectations of customers

IT organizations need to clearly define their positioning towards the customer side, concentrating on developing measurable value for the customer and other stakeholders. The process of determining and measuring this 'IT business value' is the largest hurdle in creating a value based ISO 20000 implementation. There is one touchstone though: in the end it is all about money.

Value from a customer perspective is created if the price the customer is willing to pay is higher than the actual price (customer surplus). Business value from IT organizations perspective is created if the received price is higher than the accompanying cost. If the IT organization has a profit and loss responsibility, also an IT surplus can be identified



Based on Kaplan and Norton, 2004

In other words, though ISO 20000, and all the other ISO standards for that matter, focus primarily on quality improvement, it is imperative to make a translation to financial terms at a certain point when the organization wants to justify the investment to its owners. A simple example of such a performance indicator is the average resolution time of incidents. If it decreases it results in less down time in the customer domain (= more revenue) with an added bonus of less time spend by the IT organization on incident solving (= lower costs). Based on a clear definition of the needs and expectations of the customers the IT organization can determine which services it wants to develop and produce itself and what it wants to insource from third parties. As soon as the needs and expectations of all stakeholders are identified, measurable objectives can be set.

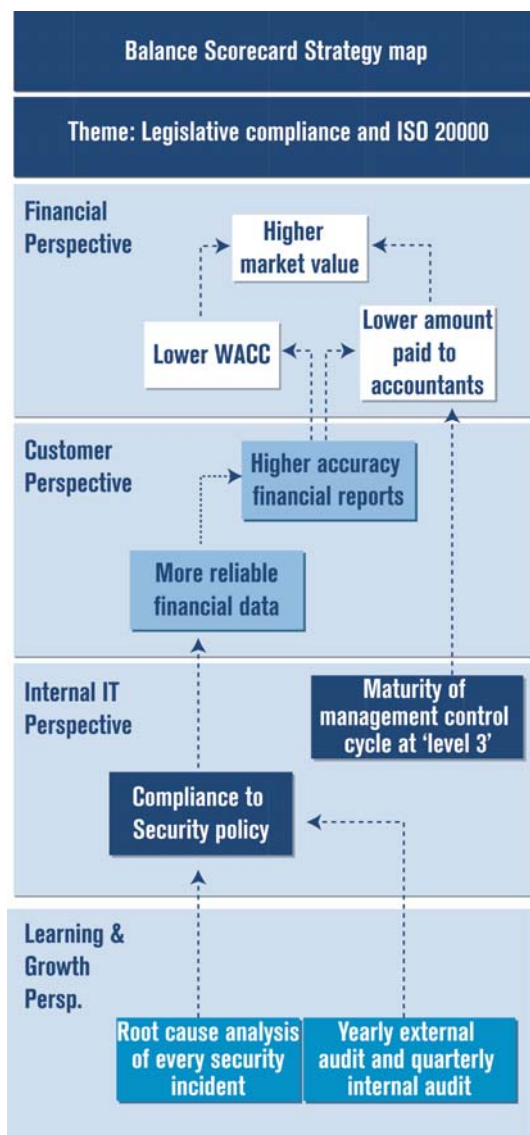
II. Establish quality policy and quality objectives

Defining objectives and steering towards them requires the IT organization to explicitly manage its performance. Performance management within this context has a typical set-up. First, the organization formulates a quality policy and long term quality related objectives. Second, the policy and the corresponding objectives are translated into Key Performance Indicators (KPI) and target levels. KPI's form measurable indicators which give a quantitative view on the organization's performance. The KPI's are often put on a scorecard, an instrument used for communicating and analyzing the performance of the quality system. Third, the qualitative indicators have to be mapped to financial indicators.

Strategy maps

A methodology allowing an organization to relate qualitative KPI's to the financial bottom line is the Strategy Maps from Kaplan and Norton (2004). The strategy maps provide the basis on how the organization expects to create value using ISO 20000 and which indicators will measure its contribution (figure below).

Strategy maps mapping ISO 20000 to compliance



After the definition phase it is time to implement the proper processes and accountability framework to ensure that the organization drives towards its objectives.

III. Determine processes and responsibilities

To attain the quality objectives of the organization, it is necessary to determine certain processes and responsibilities. This requires a combination of analytic skills and management control experience as the strategy map and KPI's now need to be linked to process activities and accountabilities. Typical activities for this phase are:

- Assess the current maturity of the organization and to which extent parts of ISO 20000 have already been implemented. If the IT organization is for example already ISO 9000:2005 certified, but has very immature ITIL Service Delivery processes, than most of the implementation effort should be allocated to that area.
- Define a process and quality system blueprint for the organization based on the ISO 20000 framework, capturing the requirements defined by this standard.
- Define, based on the processes blueprint adequate Process Performance Indicators (PPIs) and target levels (e.g. reduction of time-to-market of changes of 5% in 6 months).
- Link logical sets of performance indicators and targets to responsibilities and accountabilities of individuals within the organization.
- Ensure the availability of performance-information and discuss the results regularly at the proper management level. Consider the use of dashboards and trend analysis to enhance transparency and quality of decision making.

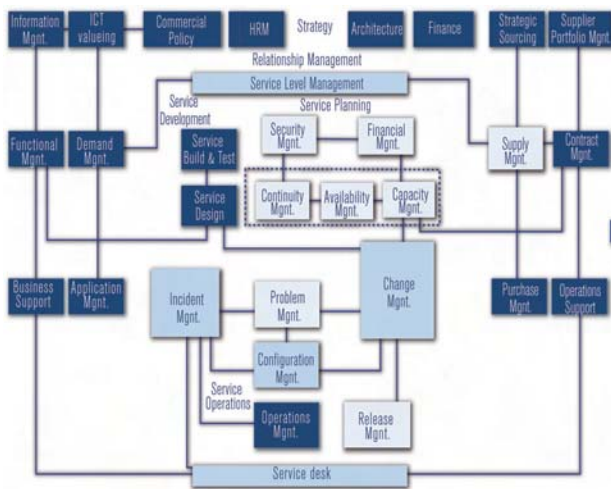
IV. Determine and provide resources

ISO 20000 describes like ITIL, only the end state of the processes and objectives and does not provide a step by step approach to get there. This makes it difficult to determine the adequate resources and plan the implementation in a way that it leverages in an optimal way on the building blocks that are already available within the organization.

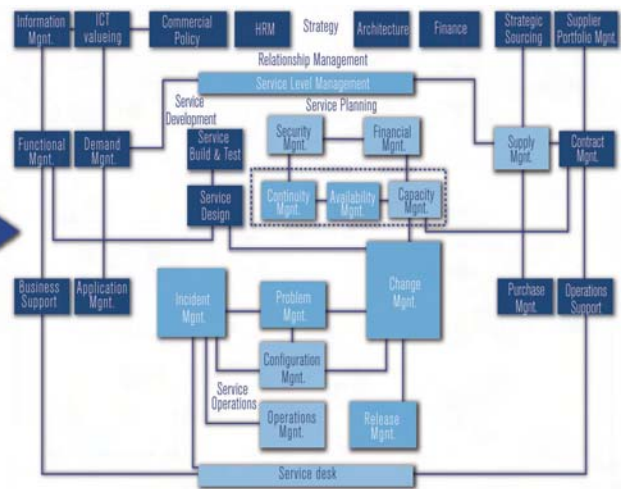
A widely used method to overcome this drawback is using the Implementation of Process Oriented Workflow Maturity Model (IPW MM[™]). This is a framework which provides an experience based and proven concept of implementing service management concepts. IPW MM is derived from the same philosophy used in both the Capability Maturity Model (CMM) and SPICE (ISO 15504). The model is very useful in determining both current maturity and the ambition level, both in qualitative (e.g. a closed control loop for every process) and quantitative (e.g. incident reduction by 10%) terms. The following figure shows a graphical representation of the current maturity of an organization, plus its desired state in say, twelve months. Please read for further background on IPW MM the Quint whitepaper *The IPW Maturity Model[™] and IPW[™]*. *IPW Maturity Model[™]*

Strategy maps mapping ISO 20000 to compliance

Current maturity



ISO 20000



V. Establish methods to measure and determine the effectiveness of each process

Once again a metric-based model like IPW MM can show its uses as for each ISO 20000 process a set of generic and process specific criteria are defined representing the value the process adds to the overall (financial) result. The model thus makes improvement projects manageable, both in terms of planning resources and setting logical, staged, ambitions levels.

Consistent with the philosophy, skipping stages is not advisable. This is primarily because each subsequent stage is built on the foundation laid in the previous stage. The stages or maturity levels are directly linked with the (perceived) added value of the process for the customer (customer value).

VI. Applying these measures to determine the effectiveness and efficiency of each process

Several methodologies describe the activities required to implement performance management, but in daily practice organizations find it hard to start the wheels turning. This is because it takes more than measuring performance using Phi's. It requires influencing human behavior, management by example and implementation of robust coordination mechanisms to evaluate the planned performance in a dynamic business context.

Leadership

A critical success factor of any improvement in a service organization is therefore allocating adequate attention to long term development of leadership, management of change and other soft skills. These more soft deliverables of an ISO 20000 implementation are at least as important as having good procedure descriptions or tools, though the average technology driven IT manager often lacks this insight.

VII. Determine the means to preventing non-conformities and eliminating their causes

To motivate individuals and groups within the organization to show 'desired behavior' organizations must measure their output and reward them. Rewards can have the form of bonuses, prestige, greater decision rights, promotions and job security. Choosing indicators and assigning them to individuals and groups is for this reason not without risk. Poor choice of metrics can lead to conflicts or destroy organizational value by individuals trying to maximize their own gain (e.g. Enron and WorldCom).

Proper control mechanisms, auditing and separation of conflicting roles (e.g. one person responsible for and controlling the outcome of an indicator) are means to prevent non-conformities and ensure follow up on any gaps identified. Where COBIT is strong in defining control mechanisms, can ISO 20000 add its value by making a translation into operational controls? Table 1 provides an example by mapping the ISO 20000 Service Level Management process to related COBIT processes and control objectives.

Mapping ISO 20000 requirements to COBIT controls

ISO PROCESS AREA	ISO 20000 PROCESS	ISO 20000 REQUIREMENTS	COBIT CONTROL OBJECTIVE	COBIT PROCESS
Service Delivery Processes	Service Level Management	SHALL record and agree of all services together with their individual service targets within SLAs	1,1	Service Level Agreement Framework
			1,2	Aspects of service Level Agreement
		SHALL document and agree all supporting service agreements	1,1	Service Level Agreement Framework
		The SLAs SHALL be under change control		not covered explicitly
		SLs SHALL be monitored and reported against targets	1,3	Performance Procedures
			1,4	Monitoring & Reporting
		SHALL be regular reviews of both SLAs and services achievements	1,5	
			1,7	Review of Service Improvement Program

Another activity useful to prevent non-conformities and eliminate their causes is auditing. Auditing can be done by both internal and external auditors. The ISO 20000 scheme requires IT organizations to be audited by an RCB every three years, though the RCB may conduct a Surveillance Audit every year to review progress on previous minor non-conformances and identified areas of concern. These external audits may be supported by regular checks for non-conformance and improvement areas by internal auditors. See box on Auditing on ISO 20000 for some guidelines on performing an internal ISO 20000 audit.

The auditing activity is one of the means to ensure the Plan-Do-Check-Act cycle becomes a closed loop by discovering and enforced acting on any deviations of the defined plan and objectives. This ensures continuous learning and improvement by individuals and the organization as a whole.

Auditing on ISO 20000

An IT organization may seek certification of its entire organization or part of it. For certification, it is unimportant whether the processes within the scope of the audit are performed entirely by the IT organization itself or performed partly by other organizations. Certification of the organization might therefore rely on evidence or contributions from other supplier organizations.

Ulrich and Smallwood (2004) provide guidelines that organizations should follow when auditing. These generic guidelines are completed with specific ISO 20000 audit requirements. The steps are:

- Determine which part of the organization to audit. This can be a division, region or entire IT organization. These organizational boundaries make up part of the audit scope, together with the IT services and any outsourced process components (e.g. the performance data collection elements of Capacity Management).
- Create the content of the audit. Keep the following guidelines in mind when creating an audit template: focus on several key capabilities that add most value to the customers; recognize that processes and capabilities depend on each other and how they influence each other and use best-in-class companies to compare yourself. Set target levels accordingly.
- Gather data from multiple groups on current and desired capabilities. This information may be collected by degrees.
 - For a 90 degree assessment, collect data only from the management team of the unit being audited. This method is quick but often deceptive as managers' self-reports may be biased.
 - For 360 degree assessment, collect data from multiple delivery units within the IT organization. Different units may tell different stories, and can provide insights that might be missed otherwise.
 - For 720 degree assessment, collect information, not only from inside the company, but also from outside groups. These groups are important because it is in their eyes that the IT organization's intangible value matters most.
- Synthesize the data to identify the most critical capabilities requiring managerial attention. Look for patterns in the data and focus management attention on no more than three capabilities required to deliver the strategic quality related goals. Identify which capabilities will have most impact and which will be easiest to improve.
- Put together an action plan with clear steps to take and measures to monitor, and assign a team to the job of delivering and the critical capabilities. Actions might include coordinating training, setting performance levels or investing in certain areas to leverage on existing capabilities. Establish a timeframe of 90 days for the plans execution.

VIII. Establishing and applying a process for continual improvement

IT organizations focusing too much on the stamp by the RCB instead of adopting the philosophy behind the standard are likely to slip back into non-conformance after obtaining the certificate as management attention is likely to shift to other priorities.

This sad observation is nevertheless too common even though the standard is all about 'continual' improvement and learning at all levels of the organization. Any breaches of agreed service levels should for example per definition lead to improvement initiatives. Similar should the quality system have mechanisms to detect weak points in the way quality is planned and controlled and take appropriate corrective and preventive action.

Only if the need for performance based continuous improvement is embraced at the highest management level and these plans are also put into action, the organization is likely to enjoy the benefits of ISO 2000. And action is definitely something else than creating bookshelves of procedures and reports ...

Observations and recommendations

A stamp is just a stamp. Like the perceived value by customers of the ISO 9000 stamp devaluated when too many unworthy organizations got certified, the same risk is lurking for ISO 20000. For this reason IT organizations considering ISO 20000 should not drive just for certification, but for a mind-shift within the people managing and producing the IT services. It should be about creating a continuous performance based planning and control cycle and stimulating individuals to display desired behavior. Driving for certification is risking passing the audit and people going back to business-as-usual. This doesn't mean that the certification is without value however. It should just be seen in the proper perspective.

ISO 20000 certification means that IT organizations can prove they are deploying best practices on IT service management, because an independent, external evaluation against the formal standard has been carried out by an approved audit organization. The value of the external auditor lays not so much in his mandate to grant the certificate. The independent unbiased view of an external person should result in a list of valuable improvements the organization can use to make the next step. This is where one RCB can differentiate from another. They can all certify, but some just stamp organizations and others add value. This point touches one of the other weak points of the certificate.

The value of the ISO 20000 label depends to a large extent on the strictness of RCBs granting it. Opportunistic audit companies, looking for means to increase their short term revenue, may deploy lax principles when examining the evidence provided, undermining the appreciation of the certificate in the long run. Yet another reason to go for the true value of ISO 20000: establishment of a customer focused, end-to-end managed IT organization.

But still there is the risk of ISO implementations, even performance based ones, resulting in bureaucratic paper and number generating exercises, destroying value instead of creating it. Dichte, Gagnon and Alexander (1993) provide some guidelines that might prevent this:

- Performance is the objective. Based on the business and IT strategy, specific (financial) performance objectives need to be defined.
- Strategy and structure still matter. Knowledge, resources, accountability and decision making framework, function profiles etc need to be in place as a supporting structure.
- Teams are key building blocks. Teams need clear performance targets and follow up measurement to make sure they produce the desired output.

Focus is essential. Focus means trade-offs. Selecting only a limited number of key metrics (value drivers, KSFs, KPIs) enables the organization to focus.

To ensure the required people take ownership and put the guidelines mentioned above into action, changes in the incentive structure at all levels of the organization may be required to stimulate continuous improvement initiatives. Done properly this should result in sustainable ISO 20000-based IT business value creation.

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Quint Wellington Redwood: specialist IT management queries

Quint Wellington Redwood - or 'Quint' - is an organization consultancy that specializes in the resolution of management queries in the field of IT. Our people are organization consultants with a wide knowledge of IT. From eleven international offices we provide services in more than twenty-five countries.

Quint clients are leading profit and non-profit organizations that rely heavily on IT. We try to achieve two goals for our clients. We provide support that results in successful information services (IS). More importantly, we help to make your business effective and successful by correctly converting information services into operating processes. This twofold mission is summarized as Creating Business & IS Results.

Our slogan is Dare to Challenge. Our people constantly challenge themselves and each other to be more efficient and creative. We also challenge you about the organization of your information technology and the provision of IT services to your clients. In doing so, Quint positions itself as a service provider that is not afraid to view business from a different angle...

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QUINT WELLINGTON REDWOOD

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